

Debt Recovery of Banks and Financial Institutions Act, 2002

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Amending Acts

1. Bank and Financial Institution Loan Recovery (First Amendment) Act, 2063? 2063.07.19
2. Republic Strengthening and Some Nepal Laws Amendment Act, 2066@ 2066.01.07
3. Bank and Financial Institution Loan Recovery (Second Amendment) Act, 2066 2066.01.13
4. Some Nepal Acts Amendment Act, 2072 2072.11.13

Act No. 16 of the year 2058

An Act Made to Provide for the Recovery of Loans of Banks and Financial Institutions

Preamble: Whereas it is desirable to make provision for the expeditious hearing and disposal of cases relating to the recovery of loans of banks and financial institutions and for the recovery of principal, interest and amounts due from borrowers,

Therefore, in the first year of the reign of His Majesty King Gyanendra Bir Bikram Shah Dev, Parliament has enacted this Act. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Bank and Financial Institution Loan Recovery Act, 2058".

(2) This Act shall come into force on such date as the Government of Nepal may appoint by notification published in the Nepal Gazette. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Bank and Financial Institution" means a bank or financial institution established pursuant to the prevailing law.

(b) "Tribunal" means a tribunal established pursuant to Section 4.

(c) "Member" means a member of a tribunal established pursuant to Section 4, and this term shall also include the Chairperson of the Tribunal.

(d) "Appellate Tribunal" means an appellate tribunal established pursuant to Section 8.

(e) "Appellate Officer" means a person appointed pursuant to Section 9.

(f) "Loan" means the principal and interest of credit provided by a bank or financial institution to a borrower, with or without taking movable or immovable property, collateral, mortgage, other necessary security, or guarantee, and this term shall also include amounts receivable from off-balance sheet transactions or fees, commission, and interest chargeable thereon.

(g) "Borrower" means a person, firm, company, or organized institution established pursuant to prevailing law that takes a loan from a bank or financial institution, and this term shall also include a guarantor.

(h) "Loan Recovery Officer" means an officer designated pursuant to Section 28.

(i) "Prescribed" or "as prescribed" means prescribed or as prescribed in rules made under this Act. 3.

Banks and Financial Institutions to Which the Provisions of this Act Shall Apply: The provisions of this Act shall apply to cases relating to the recovery of loans of the following banks and financial institutions:- (a) Agricultural Development Bank established under the Agricultural Development Bank Act, 2024, (b) Commercial banks established under the Commercial Bank Act, 2031, (c) Nepal Industrial Development Corporation established under the Nepal Industrial Development Corporation Act, 2046, (d) Other financial institutions specified by Nepal Rastra Bank from time to time. Provided that, the provisions of this Act shall not apply when recovering a loan with a principal amount of less than five hundred thousand rupees.

Chapter-2 Establishment and Constitution of Tribunals and Appellate Tribunals 4. Establishment and Constitution of Tribunals: (1) For the purpose of initiating proceedings and adjudicating cases relating to the recovery of loans of banks and financial institutions, the Government of Nepal may, by notification published in the Nepal Gazette, establish Loan Recovery Tribunals as required. (2) The seat and territorial jurisdiction of a tribunal established pursuant to Sub-section (1) shall be as specified in such notification. (3) Each tribunal shall have the following members:- (a) Law Member, (b) Banking Member, and (c) Accounts Member. Inserted by the Second Amendment.(3a) If the workload in the tribunal increases, the Government of Nepal may increase the number of members. Inserted by the Second Amendment.(3b) Where members are added pursuant to Sub-section (3a), the tribunal shall have Benches as required, and each Bench shall consist of a Law, Banking, and Accounts Member. Inserted by the Second Amendment.(3c) Where a tribunal has more than one Bench, the Chairperson shall constitute the Benches and assign cases. Amended by the Second Amendment.(4) The Chairperson of the tribunal shall be the Law Member, and in the case of more than one Law Member, the Law Member appointed first, in the absence of such Law Member, another Law Member, and in the absence of or despite the presence of such Law Member, the Banking Member appointed first, and in the absence of that Banking Member as well, the Banking Member present shall be the Chairperson of the tribunal. (5) Notwithstanding anything contained elsewhere in this Section, the Government of Nepal may, by notification published in the Nepal Gazette, expand the territorial jurisdiction of a tribunal and confer authority to initiate proceedings and adjudicate loan recovery cases. 5. Appointment of Members: The Government of Nepal shall, by notification published in the Nepal Gazette, appoint Members from among persons who possess the qualifications prescribed pursuant to Section 6. Provided that, while appointing Banking and Accounts Members, the Government of Nepal shall consult Nepal Rastra Bank. 6.

Qualifications for Members: A person shall possess the following qualifications to become a Member:- (a) For a Law Member: a person who is or has been a Judge of a District Court or is qualified to be such a Judge, (b) For a Banking Member: a person who has obtained at least a Master's Degree in Economics or Commerce and has at least ten years of experience at the officer level of at least the second class in a bank or financial institution established under prevailing law, (c) For an Accounts Member: a person who has obtained a Master's Degree in Commerce or has passed the Chartered Accountancy or equivalent examination and

obtained a certificate of auditor of at least "B" class, and has at least ten years of experience in auditing work related to the banking or financial sector. 7. Term of Office of Members: A Member shall hold office for a term of five years from the date of appointment and may be reappointed. 8. Establishment of Appellate Tribunals: (1) For the purpose of hearing appeals against decisions made by a tribunal under this Act, the Government of Nepal may, by notification published in the Nepal Gazette, establish Loan Recovery Appellate Tribunals as required. (2) While establishing an appellate tribunal pursuant to Sub-section (1), the seat and territorial jurisdiction of such appellate tribunal shall also be specified. (3) The Government of Nepal may, by notification published in the Nepal Gazette, designate an appellate tribunal to hear appeals against orders or decisions made by a tribunal outside its territorial jurisdiction. 9. Appointment of Appellate Officer: The Government of Nepal may, Amended by Some Nepal Acts Amendment Act, 2072. by notification published in the Nepal Gazette, appoint a person who is or has been a Judge of a High Court or is qualified to be such a Judge, to the position of Appellate Officer of the Appellate Tribunal. 10. Term of Office of Appellate Officer: The Appellate Officer shall hold office for a term of five years from the date of appointment and may be reappointed. 11. Remuneration and Facilities: The remuneration, facilities, and other terms of service of a Member and Appellate Officer shall be as prescribed. 12.

Circumstances of Ceasing to Hold Office: (1) A Member or Appellate Officer shall cease to hold office in the following circumstances:- (a) Upon expiry of the term of office under this Act, (b) Upon resignation from office being accepted by the Government of Nepal, (c) Upon removal by the Government of Nepal on the grounds of misconduct or lack of competence. (2) Before issuing an order of removal under Clause (c) of Sub-section (1), the Government of Nepal shall give such person a reasonable opportunity to defend himself/herself. 13. Filling of Vacancies: If a vacancy occurs in the office of a Member or Appellate Officer pursuant to Section 12 or for any other reason, such vacancy shall be filled for the remaining term of such person through the procedure pursuant to Section 5 or Section 9. Chapter 3 Jurisdiction and Procedure of Tribunals and Appellate Tribunals 14. Functions, Duties, and Jurisdiction: (1) After a tribunal is established under this Act, it shall have the authority to initiate proceedings and adjudicate cases relating to the recovery of loans of banks and financial institutions within its jurisdiction. (2) The jurisdiction of the tribunal shall be exercised collectively by all three members. The opinion of the majority shall be deemed to be the decision of the tribunal. (3) Notwithstanding anything contained in Sub-section (2), if two members, including a Law Member, are present, the case may be proceeded with and adjudicated.

If two members other than the Law Member are present, other proceedings may be conducted except for making a decision or issuing a final order on the case. (4) If unanimity cannot be reached during the hearing and adjudication of a case in the presence of two members pursuant to Sub-section (3), the case shall be presented in the presence of the absent member as well. (5) If a majority cannot be formed even after presentation pursuant to Sub-section (4), the matter shall be sent in writing to the Appellate Tribunal for resolution. (6) After an appellate tribunal is established, it shall have the final authority to hear appeals against orders given by tribunals within its jurisdiction. (7) Notwithstanding anything contained elsewhere in this Act, a bank or financial institution may only file a petition regarding loan recovery if the following conditions are fulfilled in relation to the loan to be recovered by it:- (a) Sufficient discussions and activities must have been carried out to settle the loan with the borrower, (b) Sufficient action must have been taken by the bank or financial institution for loan recovery, and the loan could not be recovered. 15. Petition to Be Filed in the Tribunal: (1) If a bank or financial institution is unable to recover the amount due to be recovered from the borrower, it shall file a complaint petition in the prescribed format, with the prescribed fee attached, within the following periods before the Tribunal to have such amount recovered:- (a) In the case of loans that had already become due at the time of commencement of this Act, within Amended by First Amendment.five

years from the date of commencement of this Act. (b) In the case of loans becoming due after the commencement of this Act, within Amended by First Amendment.four years from the date they became due. (2) While filing a petition pursuant to Sub-section (1), the concerned bank or financial institution shall also deposit with the Tribunal in advance an amount equal to 0.25 percent of the claimed amount as a loan recovery fee. (3) Within fifteen days from the date of receipt of the complaint petition pursuant to Sub-section (1), the Tribunal shall issue a notice to the respondent to submit a reply with evidence and proof within fifteen days, and the respondent shall submit the reply within that period.

Provided that, if the respondent is unable to submit the reply within that period due to circumstances beyond control and files a petition stating the reason thereof within the subsequent fifteen days, and if the content of such petition appears reasonable, the Tribunal may extend the period by up to fifteen days. 16. Power to Issue Interim Orders: (1) In relation to a case pending before the Tribunal, if the Tribunal, based on a petition by a party, considers it necessary to attach movable or immovable property owned, possessed, or entitled to by the borrower or the guarantor, which was kept as collateral for the loan, to prevent its transfer, alienation, or sale, the Tribunal may issue an interim order to the concerned office to attach such property until further order.

(2) It shall be the duty of the concerned office to comply with the order pursuant to Sub-section (1). 17. Period for Proceedings and Disposal of Cases: The Tribunal shall, within one hundred and fifty days from the date of submission of the reply, if submitted, or from the date of expiry of the period for submitting the reply, if not submitted, complete the final proceedings and disposal of cases filed under this Act. Provided that, the final proceedings and disposal of a case shall not be completed until the period for granting an extension, as per Sub-section (3) of Section 15, has expired. 18. Pronouncement of Decision: (1) The decision made by the Tribunal shall be pronounced to the parties present or their attorneys, and a receipt acknowledging having heard the decision shall be obtained from them.

(2) If the concerned party or its attorney is absent at the time of making the decision, information of the decision shall be sent to them within seven days of the decision being made. 19. Right to Appeal: (1) A party dissatisfied with a decision made by the Tribunal may, within fifteen days from the date of receipt of a copy of such decision, file an appeal before the concerned Appellate Tribunal in the prescribed format, paying the prescribed appeal fee.

(2) Within seven days from the date of registration of an appeal pursuant to Sub-section (1), the Appellate Tribunal shall issue a notice to the respondent to submit a reply with evidence and proof within thirty days, and the respondent shall submit the reply within that period. Provided that, if the respondent is unable to submit the reply within that period due to circumstances beyond control and files a petition stating the reason thereof, the Appellate Tribunal may extend the period by fifteen days. 20.

Settlement Possible: (1) Notwithstanding anything contained elsewhere in this Act, in any case pending for proceedings and disposal under this Act, if both the complainant and the respondent submit a petition to the Tribunal or Appellate Tribunal stating their intention to settle, the content of such petition shall be read out and explained to both the plaintiff and the respondent, and the meaning and consequences thereof shall be properly explained and made understood. If both parties agree after such explanation, the Tribunal or Appellate Tribunal may effect a settlement, regardless of the stage the case proceedings have reached. (2) When effecting a settlement pursuant to Sub-section (1), an amount equal to 0.50 percent of the claimed amount shall be deposited with the Tribunal as a settlement fee, fifty percent each by both the complainant and the respondent. The fee payable by the complainant for such settlement shall be deducted from the loan

recovery fee deposited in advance by him/her pursuant to Sub-section (2) of Section 15. (3) For the implementation of the settlement made pursuant to Sub-section (1), the Tribunal effecting such settlement shall issue an order to the Loan Recovery Officer. 21. Implementation of Decision: (1) After the Tribunal has pronounced a decision pursuant to Section 18, if an appeal is filed against that decision, after receiving the decision of the Appellate Tribunal, and if no appeal is filed, after the period for filing an appeal has expired, an order shall be issued in the name of the Loan Recovery Officer to implement the decision. (2) While issuing an order pursuant to Sub-section (1), the Tribunal may also specify the period for implementation of the decision. 22. Deposit Required for Appeal: When appealing under Section 19, the borrower shall deposit in cash thirty percent of the amount determined to be recovered according to the decision of the Tribunal as a deposit. 23. Period for Disposal of Appeal: The Appellate Tribunal shall, within ninety days from the date of submission of the reply to the appeal, if submitted, or from the date of expiry of the period for submitting such reply, if not submitted, complete the final proceedings and disposal of the appeal filed under this Act and send information thereof to the concerned tribunal within fifteen days from the date of final disposal. 24.

Powers and Procedure of Tribunals and Appellate Tribunals: (1) While conducting proceedings and disposing of cases filed under this Act, the Tribunal and Appellate Tribunal may, subject to this Act or rules made under this Act, determine their own procedure. (2) While conducting proceedings and disposing of cases filed under this Act, the Tribunal or Appellate Tribunal shall have the same powers as a court under prevailing law, including the power to issue notices, summon plaintiffs, defendants, witnesses, administer oaths, record statements, examine evidence and necessary documents or details, require submission of documents, require deposit of security, and impose penalties. Chapter-4 Loan Recovery Methods 25. Loan Recovery Methods: (1) After receiving an order of the Tribunal, the Loan Recovery Officer shall recover the loan amount from the borrower within the period specified in such order and cause it to be given to the concerned bank or financial institution. (2) While recovering the principal and interest of the loan, the Loan Recovery Officer may, subject to prevailing law, adopt the following methods:- (a) Seize or auction sell the movable or immovable property of the borrower, whether kept as collateral or not, (b) Seize or auction sell the movable or immovable property of the guarantor, (c) In the case of a specific person being the borrower or guarantor, arrest such person and detain him/her in custody under prevailing law. 26. Liability of Guarantor: (1) The liability of a guarantor for a borrower shall be limited to the extent of the amount guaranteed. (2) Notwithstanding anything contained in prevailing law, the liability under Sub-section (1) may be recovered directly from the guarantor. 27. Order of Loan Recovery Officer to Be Equivalent to Order of Tribunal: (1) In the context of loan recovery under this Act, an order given by the Loan Recovery Officer shall be equivalent to an order given by the Tribunal, and it shall be the duty of all concerned to comply with such order. (2) If any person disobeys an order given by the Loan Recovery Officer under this Act, the Tribunal may initiate proceedings against such person for contempt of the Tribunal under Section 30. Chapter-5 Miscellaneous 28. Designation of Loan Recovery Officer: (1) The Government of Nepal may designate an officer of at least the gazetted second class as a Loan Recovery Officer. (2) The functions, duties, and powers of the Loan Recovery Officer shall be as prescribed. 29. Provision Relating to Other Employees: In addition to the Loan Recovery Officer, the Government of Nepal shall provide necessary employees for the operation of the Tribunal and Appellate Tribunal. 30.

Power to Initiate Contempt Proceedings: (1) The Tribunal or Appellate Tribunal may initiate proceedings for contempt of itself. (2) If the Tribunal finds that contempt has been committed, it may punish the accused with a fine of up to one thousand rupees or imprisonment for up to one month, or both. (3) If the Appellate Tribunal finds that contempt has been committed, it may punish the accused with a fine of up to five thousand rupees or imprisonment for up to three months, or both. (4) Notwithstanding anything contained in Sub-section (1) or

(3), if the accused tenders an apology satisfactory to the concerned Tribunal or Appellate Tribunal, it may pardon the accused without imposing any punishment, or if punishment has already been imposed, reduce or remit such punishment, or order that the punishment not be implemented subject to fulfillment of specified conditions after suspending the punishment.

31. Bank or Financial Institution to Pay Amount: (1) After loan recovery is effected under this Act, the concerned bank or financial institution shall pay to the Tribunal one percent of the recovered loan amount as a loan recovery fee. While paying such loan recovery fee, the bank or financial institution shall pay only the remaining amount after deducting the amount deposited by it pursuant to Sub-section (2) of Section 15. (2) The amount deposited pursuant to Sub-section (1) shall be deposited by the Tribunal in the consolidated fund as specified by the Government of Nepal.

32. Transfer of Cases: Cases relating to loans falling within the jurisdiction of this Act that are pending for disposal in the District Court and the High Court at the time of commencement of this Act shall be transferred to the concerned Tribunal or Appellate Tribunal.

33. Power to Make Rules: The Government of Nepal may make necessary rules for the purpose of implementing this Act.